

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1724
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-13302, Arizona Revised Statutes, is amended
3 to read:

4 42-13302. Determining limited value in cases of
5 modifications, omissions, changes and splits,
6 subdivisions and consolidations; definitions

7 A. In the following circumstances the limited property value shall
8 be established at a level or percentage of full cash value that is
9 comparable to that of other properties of the same or a similar use or
10 classification:

11 1. Property that was erroneously totally or partially omitted from
12 the property tax rolls in the preceding tax year, except as a result of
13 this section.

14 2. Property for which a change in physical, objectively verifiable
15 use has occurred on the property since the preceding tax year. For the
16 purposes of this paragraph and section 42-16002:

17 (a) A change in the occupant or classification of a single-family
18 residence is not a change in use, in and of itself.

19 (b) A change in the classification of a guest ranch as defined in
20 section 42-13551 is not a change in use, in and of itself.

21 3. Property that has been modified by construction, destruction or
22 demolition since the preceding valuation year such that the total value of
23 the modification is equal to or greater than fifteen percent of the full
24 cash value.

25 4. Property that has been split, subdivided or consolidated ~~from~~
26 ~~January 1 through September 30 of the valuation year, except for cases~~
27 ~~that result from an action initiated by a governmental entity~~ AS PROVIDED
28 IN SUBSECTIONS B AND C OF THIS SECTION.

1 5. Property that ~~previously qualified for~~ WAS SUBJECT TO property
2 valuation protection under article IX, section 18, subsection (7),
3 Constitution of Arizona, if title to the property is conveyed to a person
4 that does not qualify for property valuation protection or the current
5 owner of the property no longer qualifies or did not reapply for property
6 valuation protection.

7 6. Property that previously qualified for a statutory valuation and
8 no longer qualifies, unless otherwise provided in law. For the purposes
9 of this paragraph, "statutory valuation" means a specific formula for the
10 calculation of full cash value prescribed in THIS CHAPTER OR chapter 12,
11 ~~13~~, 15 or 19 of this title.

12 ~~B. In the case of property that is split, subdivided or~~
13 ~~consolidated after September 30 through December 31 of the valuation year,~~
14 ~~except for cases that result from an action initiated by a governmental~~
15 ~~entity, the total limited property value of the new parcel or parcels is~~
16 ~~the same as the total limited property value of the original parcel or~~
17 ~~parcels. For the following valuation year, the limited property value~~
18 ~~shall be established at a level or percentage of full cash value that is~~
19 ~~comparable to that of other properties of the same or a similar use or~~
20 ~~classification. The new parcel or parcels shall retain the same~~
21 ~~value-adding characteristics that applied to the original parcel before~~
22 ~~being split or consolidated, except as provided in subsection A,~~
23 ~~paragraph 3 of this section.~~

24 ~~C. In the case of property that was split, subdivided or~~
25 ~~consolidated from January 1 through September 30 of the valuation year as~~
26 ~~a result of an action initiated by a governmental entity, the limited~~
27 ~~value is the lower of either:~~

28 ~~1. The level or percentage of full cash value that is comparable to~~
29 ~~that of other properties of the same or similar use or classification.~~

30 ~~2. The total limited value for the original parcel or parcels as~~
31 ~~determined under section 42-13301, and in the following valuation year,~~
32 ~~the limited property value shall be established pursuant to section~~
33 ~~42-13301.~~

34 ~~D. In the case of property that was split, subdivided or~~
35 ~~consolidated after September 30 through December 31 of the valuation year~~
36 ~~as a result of an action initiated by a governmental entity, the total~~
37 ~~limited value for the resulting parcel or parcels is the same as the total~~
38 ~~limited value for the original parcel or parcels as determined under~~
39 ~~section 42-13301, and in the following valuation year, the limited~~
40 ~~property value shall be established as the lower of either:~~

41 ~~1. The level or percentage of full cash value that is comparable to~~
42 ~~that of other properties of the same or similar use or classification.~~

43 ~~2. The limited property value established pursuant to section~~
44 ~~42-13301.~~

45 B. FOR PROPERTY THAT HAS BEEN SPLIT, SUBDIVIDED OR CONSOLIDATED,
46 THE FOLLOWING APPLY:

1 1. IF THE SPLIT, SUBDIVISION OR CONSOLIDATION OCCURS FROM JANUARY 1
2 THROUGH SEPTEMBER 30 OF THE VALUATION YEAR AS A RESULT OF AN OWNER
3 INITIATED ACTION AND NOT AS A RESULT OF ACTION INITIATED BY A GOVERNMENTAL
4 ENTITY AND THAT ACTION CONSTITUTES A PROPERTY SPLIT, SUBDIVISION OR
5 CONSOLIDATION, THE LIMITED PROPERTY VALUE SHALL BE ESTABLISHED AT A LEVEL
6 OR PERCENTAGE OF FULL CASH VALUE THAT IS COMPARABLE TO THAT OF OTHER
7 PROPERTIES OF THE SAME OR A SIMILAR USE OR CLASSIFICATION.

8 2. IF THE SPLIT, SUBDIVISION OR CONSOLIDATION OCCURRED AFTER
9 SEPTEMBER 30 THROUGH DECEMBER 31 OF THE VALUATION YEAR AS A RESULT OF AN
10 OWNER INITIATED ACTION AND NOT AS A RESULT OF ACTION INITIATED BY A
11 GOVERNMENTAL ENTITY AND THAT ACTION CONSTITUTES A PROPERTY SPLIT,
12 SUBDIVISION OR CONSOLIDATION, THE TOTAL LIMITED PROPERTY VALUE OF THE NEW
13 PARCEL OR PARCELS IS THE SAME AS THE TOTAL LIMITED PROPERTY VALUE OF THE
14 ORIGINAL PARCEL OR PARCELS. FOR THE FOLLOWING VALUATION YEAR, THE LIMITED
15 PROPERTY VALUE SHALL BE ESTABLISHED AT A LEVEL OR PERCENTAGE OF FULL CASH
16 VALUE THAT IS COMPARABLE TO THAT OF OTHER PROPERTIES OF THE SAME OR A
17 SIMILAR USE OR CLASSIFICATION.

18 3. IF THE SPLIT, SUBDIVISION OR CONSOLIDATION OCCURRED FROM JANUARY
19 1 THROUGH SEPTEMBER 30 OF THE VALUATION YEAR AS A RESULT OF ACTION
20 INITIATED BY A GOVERNMENTAL ENTITY, THE LIMITED PROPERTY VALUE IS THE
21 LOWER OF EITHER:

22 (a) THE LEVEL OR PERCENTAGE OF FULL CASH VALUE THAT IS COMPARABLE
23 TO THAT OF OTHER PROPERTIES OF THE SAME OR SIMILAR USE OR CLASSIFICATION.

24 (b) THE TOTAL LIMITED PROPERTY VALUE FOR THE ORIGINAL PARCEL OR
25 PARCELS AS DETERMINED UNDER SECTION 42-13301, AND IN THE FOLLOWING
26 VALUATION YEAR, THE LIMITED PROPERTY VALUE SHALL BE ESTABLISHED PURSUANT
27 TO SECTION 42-13301.

28 4. IF THE SPLIT, SUBDIVISION OR CONSOLIDATION OCCURRED AFTER
29 SEPTEMBER 30 THROUGH DECEMBER 31 OF THE VALUATION YEAR [AS A RESULT OF
30 ACTION INITIATED BY A GOVERNMENTAL ENTITY], THE TOTAL LIMITED PROPERTY
31 VALUE FOR THE RESULTING PARCEL OR PARCELS IS THE SAME AS THE TOTAL LIMITED
32 PROPERTY VALUE FOR THE ORIGINAL PARCEL OR PARCELS AS DETERMINED UNDER
33 SECTION 42-13301. FOR THE FOLLOWING VALUATION YEAR, THE LIMITED PROPERTY
34 VALUE SHALL BE ESTABLISHED AS THE LOWER OF EITHER:

35 (a) THE LEVEL OR PERCENTAGE OF FULL CASH VALUE THAT IS COMPARABLE
36 TO THAT OF OTHER PROPERTIES OF THE SAME OR SIMILAR USE OR CLASSIFICATION.

37 (b) THE LIMITED PROPERTY VALUE ESTABLISHED PURSUANT TO SECTION
38 42-13301.

39 C. FOR THE PURPOSES OF THIS SECTION, A SPLIT, SUBDIVISION OR
40 CONSOLIDATION DOES NOT REQUIRE A REESTABLISHMENT OF LIMITED PROPERTY VALUE
41 UNLESS IT RESULTS IN THE CREATION OF A NEW, INDEPENDENTLY USABLE AND
42 INDEPENDENTLY MARKETABLE ECONOMIC UNIT OR FUNCTIONAL UNIT.

43 D. FOR THE PURPOSES OF THIS SECTION:

44 1. "ECONOMIC UNIT" MEANS REAL PROPERTY THAT OPERATES AS A SINGLE
45 INCOME-PRODUCING OR VALUE-CONTRIBUTING ENTITY IN THE MARKETPLACE,
46 REGARDLESS OF THE NUMBER OF PARCEL IDENTIFIERS OR OWNERSHIP INTERESTS.

1 2. "FUNCTIONAL UNIT" MEANS REAL PROPERTY THAT OPERATES TOGETHER AS
2 A SINGLE SITE FOR A PRIMARY USE, INCLUDING LAND OR IMPROVEMENTS THAT
3 PROVIDE A SUPPORTING, AN INCIDENTAL OR A LEGALLY REQUIRED UTILITY FOR THAT
4 USE AND DO NOT FUNCTION INDEPENDENTLY FROM THE PRIMARY USE IN TERMS OF
5 USE, ACCESS OR OPERATION.

6 3. "INDEPENDENTLY MARKETABLE" MEANS CAPABLE OF BEING SOLD, LEASED
7 OR OTHERWISE TRANSFERRED AS A SEPARATE INTEREST IN REAL PROPERTY IN THE
8 OPEN MARKET TO A TYPICAL PURCHASER OR TENANT, AND NOT MERELY INCIDENTAL OR
9 SUBORDINATE TO AN ADJACENT PROPERTY.

10 4. "INDEPENDENTLY USABLE" MEANS CAPABLE OF BEING USED, OCCUPIED OR
11 DEVELOPED FOR A PERMITTED PURPOSE WITHOUT RELIANCE ON OTHER REAL PROPERTY
12 FOR LEGALLY REQUIRED ACCESS, ESSENTIAL INFRASTRUCTURE OR SITE FUNCTION AS
13 REQUIRED BY ANY LAW, ORDINANCE OR PERMIT.

14 Enroll and engross to conform

15 Amend title to conform

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